tolerate any advice on how they could improve their policy response to mitigate the costs to them and to the rest of the world.

Governance Reforms at the IMF

Governance reforms at the IMF came to be a standard item on the agenda of virtually every IMFC meeting in the post-crisis period. Emerging markets and developing countries (EMDCs) have long nursed a grievance that the Bretton Woods twins—the IMF and the World Bank—are controlled and managed by advanced economies to serve their own economic and political interests, consistently denying EMDCs voice and representation commensurate with their growing role in the global economy. The harsh, and often counterproductive, conditions imposed by the IMF and the World Bank when extending aid to EMDCs, it was believed, was a reflection of this asymmetric relationship. That grievance went largely unheeded.

Until the crisis changed the dynamics of international economic power play. The stereotypical view before the crisis was that EMDCs repeatedly brought on financial crises on themselves because of their poor economic management and venal governance. The crisis destroyed that stereotype. Here was America, the largest and most advanced economy in the world, which was the epicentre of this crisis, the deepest since the Great Depression. The causes of this America-centred crisis were the same as those for which the EMDCs have historically been reprimanded—inept economic management and poor governance. Post-crisis, advanced economies found themselves in an unfamiliar and vulnerable spot, of receiving a scolding rather than giving it, and depending on the EMDCs, particularly China, for leading the world out of a potentially deep recession.

The changed dynamics presented an opportunity to the EMDCs to press for a redressal of their grievances—for a bigger say in the running of the Bretton Woods institutions. After protracted negotiations, extensive backroom diplomacy and several iterations, the EMDCs extracted two concessions. First, it was agreed that the historical monopoly of the US on the position of the president of the World Bank and of Europe on the